



LABSTAT INTERNATIONAL INC.

262 Manitou Drive, Kitchener, Ontario, Canada N2C 1L3
Phone (519) 748-5409 FAX (519) 748-1654

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Labstat International Inc. is a recognized centre of analytical excellence related to tobacco and tobacco products. Our clients include major international tobacco manufacturers, various Governments and Government agencies such as the Canadian Federal Department of Health and the Massachusetts Department of Public Health, agricultural interests, university researchers and private research interests. Normally our contractual obligations extend **only** to the provision of data and related reports.

It should be noted², in this regard, that

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The following also applies to reported data.

All Labstat reports on testing relate only to the sample received and tested by it at the time of testing. Labstat warrants that all samples submitted were tested in accordance with its standard chemical test procedures. Except as stated herein, there is no warranty expressed or implied, statutory or other wise, as to the results of Labstat tests. Labstat does not warrant or guarantee the fitness of the materials from which the samples have been drawn for any particular purpose including without limitation for consumption as cigarettes, cigars, smokeless tobacco or any other form of tobacco or tobacco-related product.

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² Unless superseded by a specific contractual obligation or other written agreement.



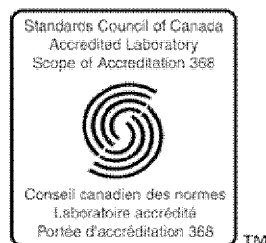
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Notes to Accompany Price Quotation:

1. Accreditation

Labstat International Inc. has been accredited to ISO 17025
with a scope that includes 63 tobacco related methodologies



2. Methods

Methods to be employed have been internally validated as required by Labstat's Quality System.

3. Number of observations

This price quotation is based on the assumption that the number of replicates required is as indicated. Labstat will be pleased to revise this quotation should this assumption not be correct.

4. Time Frame

20 working days from the receipt of product.

5. Payment

Invoices are due when rendered and payable within 30 days of submission.

6. Time Limits

This price quotation is valid until December 31, 2006.

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To: R.J. Reynolds
P.O. Box 1148
950 Reynolds Boulevard
Winston-Salem NC
27102-1487

Quote No.: T2191
Project: Not Assigned
Date: 31-Oct-06

Attn: Dr. Mike Borgerding

Item	Free Radical Analysis (6 Replicates)	Cost/ Obs.	Obs. per Brand or Sample	No. of Brands or Samples	Total No of Obs.	Cost per "Item"
	Smoke Analysis	American \$				
1	Sample handling, login and recording	\$25.51	1	3	3	\$76.53
2	EPR evaluation of mainstream tobacco smoke (Particulate Phase and Gas Vapour Phase) - FTC/ISO Smoking Regime	\$165.00	3	3	9	\$1,485.00
	Smoke Condensate Analysis					
	Acetone solutions tested 'as is'					
4a	Calibrations	\$86.25			4	\$345.00
4b	Free radical analysis	\$86.25	3	3	9	\$776.25
	Benzene solutions					
5a	Calibrations	\$86.25			4	\$345.00
5b	Free radical analysis	\$129.38	3	3	9	\$1,164.38
					Total	\$4,192.16

Puffing regimens:

{1} 35 ml puff of 2 s duration every 60 s (35/2/60)

Number of Brands and Samples:

- Client to provide 3 brands for particulate phase and gas vapour phases analysis
- Client to provide 3 smoke condensate samples dissolved in acetone. Testing to be done as follows:
 - acetone solutions - tests 'as is' using the flat cell on the EPR unit
 - acetone solutions to be turbovaped to dryness, reconstituted in benzene and analysed using the flat cell on the EPR unit